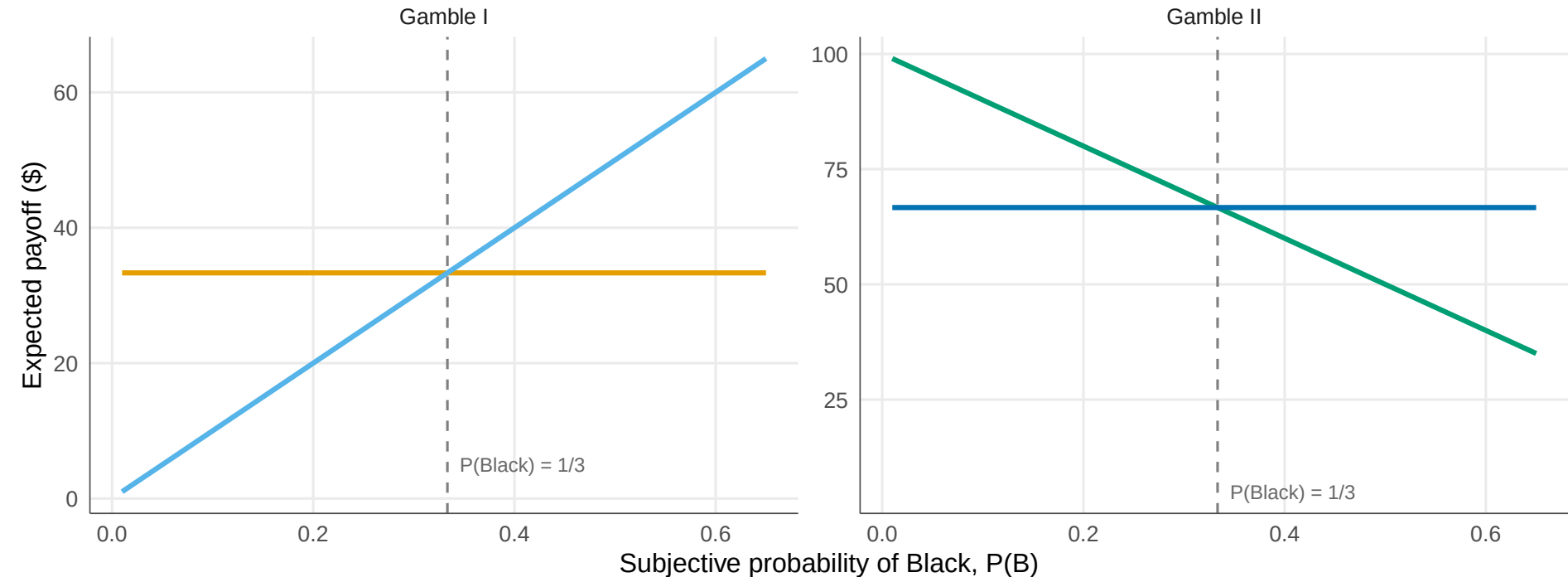


The Ellsberg Paradox: No Consistent Subjective Probability

Typical preferences (f_a . f_b and f_d . f_c) require contradictory beliefs about $P(\text{Black})$



Gamble f_a : Bet on Red f_b : Bet on Black f_c : Bet on Red or Yellow f_d : Bet on Black or Yellow